# Advanced Assurance Workshop

## Situation 1

Megan is an audit manager and is preparing for her second audit on the client Really Wheely Skates Limited (RWS). She has seen in some press reports that RWS has suffered some problems recently. Use of the company's best-selling electric skateboard, the E-Wheely, has recently been banned on public roads. This has led to a decrease in profits of almost 50% in RWS's Q2 trading update.

From discussions she has had with the financial controller at RWS, Megan knows that the company is suffering from significant cash-flow difficulties. Accounts Payable Days have increased from around 29 days in the previous year to 74 days last month.

Due to this, the financial controller has told Megan that it is essential that the audit runs smoothly, to restore the trust of the investors. Therefore, he is happy to pay a much higher audit fee than in the previous year, but only if no misstatements are identified.

## Situation 2

Rory is an audit partner at a small audit firm based in Inverness. He is preparing for the audit of Scottie Shortbread Limited (Scottie). Scottie is usually one of his most straightforward clients as his wife is the CFO and they work well together.

This year Rory and the other audit partners have been performing an analysis of the audit fees which they receive from all their audit clients, and the resources required to complete the audit. Rory has noticed that the audit fee for Scottie is 30% lower than average for a client of this size, however he knows that he will struggle to get his wife to agree to a higher fee. He has also realised that, due to the acceptance of some other engagements, all associate staff members are fully resourced to the audits of other clients, and he does not yet have any assigned to Scottie.

## Situation 3

Kaleem is an audit manager at M&N Limited (M&N) and has been approached by a potential new client, Myla Fashion Limited (Myla). During the year, Myla has become very popular in supplying affordable clothing in popular styles primarily to a market of 15–30-year-old women. However, the company has received some negative publicity due to concerns around their supply chain. There have been some reports of forced labour, although Myla has vehemently denied these.

The financial director (FD) of Myla has made it very clear to Kaleem that the audit will need to be finalised as soon as possible, and that they would expect audit fieldwork to be complete three weeks after acceptance of the audit. The FD and other directors are all happy to make themselves available to answer any questions which the audit team may have, except for one director who lives abroad. The FD commented that this director is not involved in the day-to-day running of the business and that they haven't responded to any correspondence from the FD in the last six months.

## Situation 4

Cars 4 U plc (Cars) is an existing audit client of your audit firm. Cars has performed very strongly in the last year and has recently listed on the London Stock Exchange (LSE). Your firm has historically performed a number of services for Cars in addition to the statutory audit, including some tax advisory services.

Your audit firm is planning to complete the audit in a similar timeline to last year and has allocated a similar team of audit staff to the engagement. You have been discussing Cars with one of the audit seniors in the team, who has told you excitedly that they bought shares in Cars as soon as the company listed.

## Situation 5

Narlan is an audit partner at a G&S Limited (G&S). A potential new client, Venture Limited (Venture) has approached her asking if G&S would consider taking on the audit of Venture immediately, as the previous auditor has resigned. As part of the audit acceptance procedures, Narlan reached out to the outgoing auditor to enquire them to disclose any reasons why the engagement should not be accepted. The previous auditor responded, describing that they had experienced difficulties obtaining relevant information from Venture, which had contributed to their decision to resign as the auditor.

Narlan has seen a press release from Venture's CFO which appeared to blame to the outgoing auditor for not providing sufficient advice to Venture for some business decisions, which have result in a decrease in market share. You have also heard from another audit partner that Venture may be bringing legal claims against the professionalism of the previous auditor.

## Situation 6

Your audit firm has been approached to perform the audit of Lucia Lane Limited (Lucia), an international restaurant chain. The company has a head office in the UK and locations in Europe and Asia. Branches in each operating country have full ownership of all processes taking place in that country.

Management at Lucia have asked that you do not contact the previous auditor, and instead have offered arrange meetings with your team and all of the branch managers in order for you to learn about the business. In your initial discussion with management, you brought up the audit fee. This appeared to surprise them, as they said they believed that audit was a free service.